

FEDERAL MARITIME COMMISSION
Office of the Administrative Law Judges

BECERRA'S INTERNATIONAL, *Claimant*

v.

NIPPON YUSEN KAISHA LINE, *Respondent*.

DOCKET NO. 2052(I)

Served: August 18, 2026

ORDER OF: Jamie L. MENDELSON, *Small Claims Officer*.

INITIAL DECISION¹

I. INTRODUCTION

Becerra's International ("Becerra" or "Claimant") filed a small claims complaint with the Federal Maritime Commission ("FMC" or "Commission") against Nippon Yusen Kaisha Line ("NYK" or "Respondent"), alleging that NYK violated the Shipping Act of 1984, as amended, 46 U.S.C. § 40101 *et. seq.* In sum, Becerra—a small business providing export and import services—arranged for ocean transport of two cranes from the port of Jacksonville, Florida, to Puerto Cortes, Honduras, for one of its customers. Becerra arranged for the transport through a freight forwarder, who in turn booked the shipment with the ocean common carrier NYK. Upon the vessel's arrival at the destination of Puerto Cortes, one of the two cranes was not offloaded due to a reported mechanical failure. Because NYK determined the crane could not be safely offloaded, it remained on the vessel, which eventually returned to the port of Jacksonville. Becerra contends that there was never a mechanical problem with the crane, and that NYK falsely claimed that the crane could not be offloaded when it arrived in Puerto Cortes due to a mechanical problem. Eventually, Becerra paid the freight forwarder to re-ship the crane from Jacksonville, Florida back to Puerto Cortes, Honduras. Becerra alleges that NYK's conduct violated section 41104(a)(3) and (a)(4)(D) of the Shipping Act and seeks reparations in the amount of \$46,021.96.

For the reasons discussed in this decision, Claimant has failed to establish by a preponderance of the evidence that Respondent violated section 41104(a)(3) or (a)(4)(D) of the Shipping Act.

¹ Pursuant to 46 C.F.R. § 502.304(g), this decision will become final unless the Commission elects to review it within 30 days of service.

II. BACKGROUND

A. Procedural History

On March 17, 2026, the FMC's Office of the Secretary ("OS") received the Claim for informal adjudication under Subpart S of the Commission's Rules of Practice and Procedure, 46 C.F.R. §§ 502.301-305. On March 20, 2026, OS mailed a Notice of Filing of Small Claims Complaint and Assignment ("Notice") and a copy of the Claim to Respondent and instructed Respondent to file a response by April 14, 2026.

In email correspondent with OS and Office of Administrative Law Judges ("OALJ") on April 10, 2026, Respondent requested an extension of time to file a response to the claim until April 28, 2026. On April 13, 2026, I was appointed to serve as the Small Claims Officer ("SCO") for this proceeding. Also on April 13, 2026, I issued an Order Granting Extension of Time for Response, extending the time for Respondent to file a response to April 28, 2026.

On April 28, 2026, Respondent's counsel entered notices of appearance and filed a response ("Response").

On June 30, 2026, I issued a Request for Information ("RFI"). On July 14, 2026, Respondent submitted its response to the RFI ("R. RFI Resp.") Claimant was granted an extension of time and submitted a response to the RFI on July 26, 2026. ("C. RFI Resp.").

On August 5, 2026, I issued an Order directing the parties to provide a verified English translation of documents that each party submitted in a foreign language. Both parties have complied with the order and submitted the requested translated documents.

B. Argument of the Parties

Claimant alleges that Respondent falsely claimed that the crane could not be offloaded from the vessel in Puerto Cortes, Honduras due to non-operational brakes, and failed to notify Claimant of the alleged "mechanical problem." (Claim ¶¶ III.C, III.D). In support of this allegation, Claimant maintains that two separate crane mechanics inspected the crane after the vessel returned to Jacksonville, Florida, and determined that, while the crane had low voltage and a low fuel level, it was operationally sound and could be offloaded from the vessel. (*Id.*) Claimant also contends that the bill of lading documents that, while the vessel was in route back to Jacksonville, the crane was "disembarked and reembarked" at the port in Veracruz, Mexico, which "strongly suggests that the crane was improperly stowed or mishandled and may have been mistakenly offloaded at a different port." (*Id.* ¶ III.C). Due to Respondent's failure to offload the crane when it originally arrived in Puerto Cortes, Claimant paid the freight forwarder an additional \$8,282.14 for the return voyage back to Jacksonville, and another \$7,739.96 to then re-ship the crane from Jacksonville to Puerto Cortes. (*Id.* ¶¶ III.E, III.F). Claimant alleges that Respondent's conduct amounted to "deliberate negligence" and Claimant "seeks a total of \$46,021.96 restitution for unnecessary additional shipping costs, financial damage, emotional distress, time spent dealing with this matter, and loss of a long-time client." (*Id.* ¶ III). In response to the RFI, Claimant clarified that it is alleging that Respondent violated sections 41104(a)(3) and 41104(a)(4)(D) of the Shipping Act "by engaging in unfair and unjust practices in the handling and discharge of Claimant's cargo." (C. RFI Resp. at Req. 1).

Respondent, in turn, maintains that its conduct “was reasonable under the totality of the circumstances.” (Response ¶ 25). According to Respondent, the crane “malfunctioned at the time of attempted discharge” at Puerto Cortes, “leading Respondent to make a determination that the cargo such could not be safely discharged from the vessel at that time.” (*Id.*). Accordingly, the crane “was properly returned to Jacksonville to allow the shipper to correct the mechanical issues.” (*Id.*). Once the shipper’s mechanic repaired the crane, it was loaded onto one of Respondent’s vessels “and the voyage to [Puerto Cortes,] Honduras was completed without further incident.” (*Id.*). Further, Respondent notes that the bill of lading was issued to the freight forwarder and contends it “was under no obligation at any point during the voyages to notify Claimant or seek Claimant’s instructions, as Respondent had no contractual privity or commercial relationship with Claimant.” (Response ¶¶ 23, 25). Respondent argues the Commission lacks subject matter jurisdiction because a claim of deliberate negligence is not actionable under the Shipping Act. (Response ¶ 20). Moreover, Respondent contends Claimant fails to plausibly allege any violation of the Shipping Act, and that the complained of conduct “did not occur on a ‘normal, customary, and continuous basis’ such that the conduct amounts to a ‘pattern or practice’ as is required under the Act, but instead arose from a single transaction.” (*Id.* ¶ 21). Finally, Respondent argues that Claimant “lacks standing to recover reparations for the conduct alleged in the Complaint because it is not a direct purchaser of NYK’s services, as evidenced by the bills of lading issued by NYK.” (*Id.* ¶ 23).

III. FINDINGS OF FACT

A. The Parties

1. Claimant Becerra’s International is a business registered in the State of Florida, engaged in providing export and import services to clients in South and Central America. (Claim ¶ I.).
2. Respondent Nippon Yusen Kaisha Line is a vessel-operating common carrier based in Japan and registered with the FMC under organization number 001573. (Claim ¶ II; Response ¶ 2; <https://www2.fmc.gov/FMC1Users/scripts/ExtReports.asp?tariffClass=vocc> (last visited Aug. 18, 2026)).

B. The Initial Shipment

3. Claimant arranged for ocean transport of two cranes from the port of Jacksonville, Florida, to the port of Puerto Cortes, Honduras, for its customer EMECO S.A. De C.V. (“EMECO”). (Claim ¶ III.A).
4. To arrange for the shipment, Claimant contracted with a freight forwarder, Express International Freight, LLC (“EIF”). (C. RFI Resp. at Req. 1). EIF in turn booked the shipment with Respondent. (*Id.* at Req. 1 and Req. 5).

5. On September 12, 2024, Respondent emailed a Booking Confirmation to EIF for booking number E004742680, from Jacksonville to Puerto Cortes. (NYK000251).² The Booking Confirmation lists EIF as the shipper. (*Id.*).
6. On September 20, 2024, Dozier Crane delivered the two cranes to the port in Jacksonville, Florida, and EIF took possession of the two cranes. (Claim ¶ III.A).
7. On October 15, 2024, Respondent issued a bill of lading for each crane. (Response at Ex. A). Bill of lading number NYKS300038444 was issued for the “Grove RT540E” crane, and lists freight and charges totaling \$5,752.27. (*Id.*). Both bills of lading list the “Shipper” as EIF, the “Consignee” as EMECO, the “Notify Party” as EMECO, the “Port of Loading” as Jacksonville, FL, and the “Port of Discharge” as Puerto Cortes, Honduras. (*Id.*).
8. On October 15, 2024, EIF issued an invoice number “INV5295” to Claimant for the shipment of the Grove RT540E crane from Jacksonville to Puerto Cortes, under booking number E004742680, with Respondent as the carrier, billing freight and charges totaling \$7,510.00. (Invoice Crane RT540E.pdf).³
9. On October 16, 2024, EIF sent Claimant an email confirming that the cranes “were loaded yesterday and have an estimate [sic] arrival on October 28.” (email de reclamo original a NYK ENGLISH.pdf at p. 19).⁴ The email attached a copy of invoice “5295” for payment. (*Id.*).
10. On October 17, 2024, Claimant sent a wire transfer in the amount of \$7,510.00 to EIF. (WT 17 Oct 2024.pdf).⁵
11. The vessel arrived in Puerto Cortes, Honduras, on or about October 28, 2024. (Response ¶ 25).
12. One of the two cranes was successfully disembarked from the vessel in Puerto Cortes. (Claim ¶ III.B). However, the Grove RT540E crane was not disembarked due to a “mechanical problem.” (*Id.*). The Grove RT540E crane remained on the vessel. (*Id.* ¶ III.C.)

C. Communications Regarding the Status of the Grove RT540E Crane

13. On October 28, 2024, Respondent received an email from the port agency in Puerto Cortes stating that the crane could not be discharged from the vessel in Puerto Cortes

² The bates numbers with prefix “NYK” refer to the documents Respondent submitted with its response to the RFI.

³ The citation refers to the PDF file name and page number of the attachment that Claimant included in its July 26, 2026, email containing its response to the RFI.

⁴ The citation refers to the PDF file name and page number of the attachment Claimant included in its August 9, 2026, email containing translated documents.

⁵ The citation refers to the PDF file name of the attachment that Claimant included in its July 26, 2026, email containing its response to the RFI.

because of “no breaks” [sic] and therefore remained on the vessel. (NYK000142). Respondent notified the “consignee and their representative via email of the issue.” (NYK000095). On November 1, 2024, the port agency in Puerto Cortes sent another email providing further details:

We only have the report message from the terminal where they informed that the crane did not have enough power to go up the ramp (it was in hold 4 and had to go up to hold 5 to exit the ship). Locally, our operations supervisor was also informed that the brakes were failing.

(NYK000098 - NYK000106) (translation).

14. On October 28, 2024, Claimant and EIF exchanged several emails discussing whether Respondent would attempt to disembark the crane at the next port stop in Guatemala. (email de reclamo original a NYK ENGLISH.pdf at pp. 11-13). On October 29, 2026, EIF emailed Respondent asking whether a mechanic could check the crane in Guatemala and attempt to unload it. (NYK000028). Respondent replied by email on the same date, stating: “Vessel is discharging at Sto Tomas GT today Oct 29, so may be too late to arrange there.” (NYK000026). On October 30, 2024, EIF emailed Claimant, confirming that Respondent did not attempt to disembark the crane in Guatemala, explaining that “they have a route and cannot delay transit maneuver for 1 unit that has faults.” (email de reclamo original a NYK ENGLISH.pdf at p. 5).
15. On October 29, 2024, Claimant emailed EIF asking for an update on the status of the crane. Claimant also questioned whether the crane actually had mechanical problems, arguing that the crane was delivered at the port of origin in Jacksonville “in very good operating condition” and Respondent “themselves got [the crane] on the boat” to transport it from Jacksonville to Puerto Cortes. (email de reclamo original a NYK ENGLISH.pdf at p. 10).
16. On October 29, 2024, Respondent emailed EIF with an update. (NYK000028). Respondent’s email explained that the “Grove 540 wheeled crane was not able to be discharged successfully at Pto Cortes due to brakes failure, stevedores were not able to operate/discharge it safely, without proper functioning brakes, despite repeated efforts.” (*Id.* at 7). Respondent’s email further explained that the crane remained on the vessel, and that the vessel was currently sailing northbound to Santo Tomas, then to Veracruz, before returning back to Jacksonville. (*Id.*). Respondent recommended that the shipper should arrange for a mechanic to board the vessel once it berths in Jacksonville to repair the crane in order to allow for re-shipment. (*Id.*). In the alternative, if the crane could not be repaired on board the vessel in Jacksonville, the crane could be removed from the vessel for further repair on the ground at the port. (*Id.*). Or as a final option, the crane could be loaded onto a “mafi,” but that option was not recommended due to the weight of the crane. (*Id.*). On October 29, 2024, EIF forwarded Respondent’s email to Claimant. (email de reclamo original a NYK ENGLISH.pdf at pp. 6-7).
17. On October 29, 2024, Claimant sent an email to Respondent asking for “help” in resolving the problem with the crane. (NYK000006). On October 30, 2024, Respondent

forwarded Claimant's email to EIF, relaying that Respondent could only communicate directly with EIF about the shipment because EIF, not Claimant, booked the shipment with Respondent. (NYK000004-NYK000006). Respondent also explained in the email that it was "not informed of the brake failure or problem in discharging the crane until after the vessel sailed from Puerto Cortes, not during the operation itself, so could only communicate the failure to discharge once our local agents reports it to our Trade team in US." (NYK000004).

18. On October 29, 2024, EIF emailed Claimant to relay that the vessel would return to Jacksonville with an estimated arrival date of November 10, 2024. (Evidence reshipment.pdf at p. 1).⁶ In the email, EIF asked Claimant whether it wanted to hire the port's mechanic or arrange for its own mechanic to service the crane. (*Id.*). The email also warned Claimant that Respondent "would again be charging an additional maritime freight if the unit is fixed and embarked on a next shipment." (*Id.*).
19. On October 30, 2026, Respondent emailed EIF asking to confirm whether a "local mechanic at JAX will be arranged to go on on board the vessel when it arrives there, to inspect and hopefully repair the brakes?" (NYK000024). The email also stated that, since there was a mechanical issue with the crane, the customer was responsible to pay the ocean freight, including the "Return to Origin Northbound rate from PCS back up to JAX." (*Id.*).
20. Between November 6, 2024, and November 8, 2024, EIF and Respondent exchanged several emails coordinating the paperwork, approval, and escort required for a mechanic to inspect and service the crane upon the vessel's arrival in Jacksonville. (NYK000020-NYK000023).

D. Evaluation of the Crane upon Return to Jacksonville

21. The vessel returned to the port of Jacksonville on or about November 10, 2024. (BL retorno Veracruz to JAX.pdf).⁷
22. On November 11, 2024, Claimant arranged for a mechanic from Dozier Crane (the company that originally delivered the crane to the port) to dispatch to the vessel to inspect the crane. (Informe tecnico Dozier.pdf).⁸ According to a report by Dozier Crane, the "mechanic discovered that the machine had been left on, and subsequently, it had low voltage, but not low enough to not start or run. The machine climbed out of the boat and [the mechanic] parked it on the dock in Jacksonville." (*Id.*).
23. On November 11, 2024, EIF emailed Respondent relaying information reported by the crane mechanic:

⁶ The citation refers to the PDF file name and page number of the attachment that Claimant included in its July 26, 2026, email containing its response to the RFI.

⁷ The citation refers to the PDF file name of the attachment that Claimant included in its July 26, 2026, email containing its response to the RFI.

⁸ The citation refers to the PDF file name of the attachment that Claimant included in its July 26, 2026, email containing its response to the RFI.

No issues.

They had the transmission in 3rd gear it wouldn't go up the ramp. Once they took it out of 3rd into 1st it came right up. No issues to the machine. Whoever unloading the machine didn't know what to do.

(NYK000020). In the email message, EIF also relayed that the mechanic reported that Respondent would not reload the crane back onto the vessel, and EIF asked Respondent to "please advise why the unit cannot be load [sic] on the vessel ????" (*Id.*).

24. On November 11, 2024, Respondent replied to EIF asking EIF to confirm whether the crane mechanic reported any issues about the brakes. (NYK000018). EIF replied on the same date relaying, "Well customer is waiting on the report, but they said to the customer unit is ok now." (*Id.*). EIF also asked Respondent again about reloading the crane back onto the vessel. (*Id.*). Respondent replied on the same date, explaining that the Puerto Cortes stevedores had reported a problem with the crane's brakes; Respondent also requested confirmation from the mechanic that there were no issues with the brakes. (NYK000016). Respondent further stated that its "OPS team in JAX will need to test drive it and test the brakes to make sure all has been repaired and no issues, before we can consider to load it back [on the vessel] and try to ship it again to Pto Cortes." (*Id.*).
25. The record contains Respondent's internal email exchanges dated November 11, 2024, in which Respondent discussed whether there is space available on the vessel to reload the crane for re-shipment to Puerto Cortes. Respondent did not believe there was space available on the vessel, and Respondent discussed the possibility of rolling-over an equivalent unit to the next voyage in order to make space for the crane. (NYK000010-NYK000015). Respondent also discussed whether there were any brake issues with the crane. (*Id.*). Respondent noted, "There seems to be some confusion in reference to the issue with discharging this unit in PCS. Apparently the brakes are in working order but may have some potential propulsion/power issues." (NYK000009). Ultimately, Respondent decided that if the crane "can make it up [t]he stern ramp without any issue we will load. If any trouble on ramp unit will be cut." (*Id.*). However, in the end, Respondent reported:

[T]he crane had to be cut from loading back onto [the vessel] at JAX, due to other mechanical issues – while en route back to the vessel ramp, the crane experienced other issues and would not operate properly, as [it] had other power/propulsion/transmission issues, it seems, and could not reach the ramp successfully to load, so had to be cut by JAX OPS.

(NYK000008). The plan of action was to "inform customer accordingly and ask them to send their local mechanic back into JAX Port to diagnose and repair the crane again, and to confirm once repairs completed, if they would like us to load it on next vessel." (*Id.*).

26. On November 11, 2024, Respondent sent EIF an email explaining that the crane could not be reloaded back onto the vessel and needed to be re-inspected and repaired again:

We tried to re-load the crane to Global Leader v70 at JAX, after testing, however, on the way from the yard to the vessel berth the crane experienced other power/transmission/driving problems, would not operate correctly, so it had to be cut once again but for other mechanical or operating issues, possibly the transmission or shifting gears or power/propulsion problem.

Please send your mechanic back to JAX Port to re-inspect the crane, this time for other mechanical/driving problems, and let us know once fully repaired and operating and driving successfully without any issues that could prevent discharge at Honduras, from our future vessel.

(NYK000063).

27. On November 14, 2024, Dozier Crane dispatched another mechanic to evaluate the crane. (Informe tecnico Dozier.pdf). According to a report by Dozier Crane, the “mechanic could not find any issues, but, as an added precaution, changed the filters and added more fuel since the fuel was low.” (*Id.*).
28. On November 14, 2024, EIF emailed Respondent, relaying that “the customer sent today the mechanic and they insist unit is ok.” (NYK000053).
29. On November 19, 2024, Respondent emailed EIF an “Arrival Notice and invoice for return freight charges” for invoice number 300038444A. (NYK000050). The record contains a copy of invoice number 300038444A, which documents a total amount due of \$8,282.14 for the return voyage of the crane back to Jacksonville. (NYK000254).
30. The record contains a payment confirmation documenting that, on December 12, 2024, EIF paid Respondent in the amount of \$8,282.14, for invoice number 300038444A. (NYK000235). On August 1, 2025, Claimant sent EIF a wire transfer in the amount of \$8,282.00. (Transfer Return to JAX.pdf).⁹
31. While the Arrival Notice states that the place of receipt and port of loading for the crane was Veracruz, Respondent’s internal email dated July 24, 2025, explains that “[t]he load port shows Veracruz as US customs requires a foreign load port to register an import. Since the unit remained onboard and did not actually ‘load’ from a foreign port we use Veracruz as the only foreign load port on [the vessel].” (BL retorno Veracruz to JAX.pdf;¹⁰ NYK000089).
32. On January 22, 2025, the crane was re-shipped on Respondent’s vessel from Jacksonville to Puerto Cortes. (Claim ¶ III.F; NYK000265-NYK000266). The bill of lading for the re-shipment of the crane lists EIF as the “Shipper” and the “Forwarding Agent” and lists

⁹ The citation refers to the PDF file name of the attachment that Claimant included in its July 26, 2026, email containing its response to the RFI.

¹⁰ The citation refers to the PDF file name of the attachment that Claimant included in its July 26, 2026, email containing its response to the RFI.

EMECO as the “Consignee” and “Notify Party.” (NYK000265). The bill of lading reflects a total amount of \$7,039.96 paid in freight and charges.

33. Claimant submitted a wire transfer to EIF in the amount of \$7,739.96 for the re-shipment of the crane from Jacksonville to Puerto Cortes. (transfer re-ship RT540E.jfif).¹¹

IV. ANALYSIS

A. Jurisdiction

The Shipping Act provides that a “person may file with the Federal Maritime Commission a sworn complaint alleging a violation of this part.” 46 U.S.C. § 41301(a). Pursuant to this provision, the Commission has exclusive jurisdiction over a complaint alleging that a respondent committed an act prohibited by the Shipping Act. *See Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, Dkt. No. 02-04, 2006 WL 2007808, at *11 (FMC May 10, 2006); *see also Cargo One, Inc. v. COSCO Container Lines Co. Ltd.*, Dkt. No. 99-24, 2000 WL 1648961, at *15 (FMC Oct. 31, 2000). “The Commission’s obligation to hear Shipping Act claims extends even to cases where the relevant facts may give rise to other claims between the parties, and even where the parties have already obtained relief for those claims in another forum.” *Southern Int’l Co., Ltd. v. Daynamez Group of Cos.*, Dkt. No. 25-24, 2026 WL 1430326, at *4 (ALJ May 15, 2026) (citing *MCS Industries, Inc. v. Mediterranean Shipping Co. S.A.*, Dkt. No. 21-05, 2024 WL 95383, at *7 (FMC Jan. 3, 2024); *Anchor Shipping*, 2006 WL 2007808, at *10-11 (FMC May 10, 2006)). While the Commission maintains jurisdiction over claims arising out of violations of the Shipping Act, the Commission does not generally have jurisdiction over common law claims. *Southern Int’l*, 2026 WL 1430326, at *9 (citing *Cargo One*, 2000 WL 1648961, at *15 (noting that claims alleging breach of contract violations are not properly before the Commission)).

Claimant alleges that Respondent violated sections 41104(a)(3) and 41104(a)(4)(D) of the Shipping Act, which are claims that are within the exclusive jurisdiction of the Commission. (C. RFI Resp. at Req. 1). However, the general claim of financial injury “[a]s a result of Respondent’s deliberate negligence and dereliction of duty” sounds in common law, and does not state a cognizable claim under the Shipping Act. (Claim ¶¶ VI.B, VI.C).

Respondent argues that Claimant lacks standing to recover reparations for a Shipping Act violation because Claimant was not a “direct purchaser” of Respondent’s services, as evidenced by the bills of lading which were issued to EIF as the shipper. (Response ¶ 23). The Commission has clarified that “standing,” as it applies to Commission proceedings, merely requires that a claimant allege a violation of the Shipping Act:

Generally, when used in the context of subject matter jurisdiction, “standing” refers to constitutional standing: the threshold concern for all federal Article III courts, as to whether a case or controversy comprises an actual injury, suffered by the complainant

¹¹ The citation refers to the PDF file name of the attachment that Claimant included in its July 26, 2026, email containing its response to the RFI.

and caused by the complained of conduct, which can be redressed by a favorable ruling. *See, e.g., Lujan v. Defenders of Wildlife*, 504 U.S. 555, 560-61 (1992))

As the Commission recently explained, however, the standing requirements of Article III “are not directly applicable to agency proceedings.” *See Stmt. of the Commission on Representative Complaints*, Dkt. 21-13 at 2 n.9 (citing cases). And as to Commission actions specifically, “any person may file a complaint alleging a violation [of Chapter 411 of Title 46].” *Id.* at 1 (emphasis omitted) (citing 46 U.S.C. § 41301(a)); *see also id.* at 2 (“the Commission has long interpreted § 41301(a) to allow any person to file a complaint, even if that person does not allege that it was injured by the alleged violation”) (citing, *e.g., Cargill, Inc. v. Waterman Steamship Corp.*, FMC Dkt. No. 79-72, 1981 FMC LEXIS 34, *39 (FMC Nov. 30, 1981) (Complainant “clearly has standing to prosecute a complaint under section 22 of the Shipping Act [of 1916] even if it were not alleging injuries to itself.”); *Fed. Mar. Comm’n v. Zim Israel Navigation*, 263 F. Supp. 618, 621 (SDNY 1967) (“Whether or not [Complainants] are entitled to reparations in the proceedings before the Commission . . . they have standing to file the complaint and the Commission has jurisdiction to entertain it.”). In other words, to the extent that standing is required to bring a Commission action, a complainant need only allege a violation of the Shipping Act to meet that requirement.

Ovchinnikov v. Hitrinov, Dkt. Nos. 15-11 & 1973(I), 2023 WL 1963462, at *6-7 (FMC Feb. 8, 2023).

Here, because Claimant alleges that Respondent violated sections 41104(a)(3) and 41104(a)(4)(D) of the Shipping Act, Claimant has standing to bring the claims. The issue of Claimant’s ability to seek reparations is not a matter of subject matter jurisdiction. Under the “direct purchaser” rule, “parties suing for alleged overcharges can only recover reparations if they actually paid the carrier or received an assignment from the direct purchaser,” *In re: Vehicle Carrier Servs.*, Dkt. Nos. 16-01, 16-07, 16-10, & 16-11, 2019 WL 5558120, at *5 (FMC Oct. 21, 2019). While, in order to prevail, Claimant must ultimately establish the right to recover reparations for an injury it suffered as a result of a Shipping Act violation, 46 U.S.C. § 41310(a)—which right may be impacted by the direct purchaser rule—it is not necessary to resolve this issue because, as discussed below, Claimant has failed to establish a Shipping Act violation.

B. Burden of Proof

Claimant bears the burden of proving its allegations by a preponderance of the evidence. 5 U.S.C. § 556(d); 46 C.F.R. § 502.203; *Rana v. Franklin*, Dkt. No. 19-03, 2022 WL 1744905, at *4 (FMC May 25, 2022); *Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, Dkt. No. 08-03, 2016 WL 6441149, at *14 (FMC Dec. 17, 2014). Under the preponderance standard, Claimant must show that its allegations are more probable than not. *Rana*, 2022 WL 1744905, at *4; *Crocus Inves., LLC v. Marine Transp. Logistics, Inc.*, Dkt. No. 15-04, 2019 WL 4734299, at *4 (FMC July 16, 2019). When direct evidence is unavailable, inferences may be drawn from certain facts and circumstantial evidence may be sufficient so long as the fact finder does not rely on mere speculation. *Rana*, 2022 WL 1744905, at *4; *Waterman S.S. Corp. v. Gen. Foundries, Inc.*, Dkt. No. 93-15, 1993 WL 13975708, at *13 (ALJ Dec. 9, 1993), *adopted in relevant part*, 1994 WL 279898 (FMC Jun. 13, 1994). “[W]here a party having the burden of proceeding has come forward with a prima facie and substantial case, he will prevail unless his evidence is

discredited or rebutted.” *Steadman v. SEC*, 450 U.S. 91, 101 (1981) (citations omitted). If the evidence produced by both parties is evenly balanced, the party with the burden of persuasion will not prevail. *Dir., Off. of Workers’ Comp. Programs, Dept’t of Lab. v. Greenwich Collieries*, 512 U.S. 267, 281 (1994).

With respect to establishing a violation of a section 41104(a)(3) claim, the Commission applies a “shifting burden of production.” 46 C.F.R. § 542(k). Under this standard, the “initial burden of production to establish a prima facie case of a violation of this part is with the complainant.” *Id.* § 542.1(k)(1). “Once a complainant sets forth a prima facie case of a violation, the burden shifts to the ocean common carrier to justify that its actions were reasonable.” *Id.* § 542.1(k)(2). However, the “ultimate burden of persuading the Commission always remains with the complainant.” *Id.*

C. Alleged Shipping Act Violations

Claimant alleges that Respondent violation sections 41104(a)(3) and 41104(a)(4)(D) of the Shipping Act “by engaging in unfair and unjust practices in the handling and discharge of Claimant’s cargo.” (C. RFI Resp. at Req. 1).

1. Section 41104(a)(4)(D)

Section 41104(a)(4)(D) provides:

(a) In general.—A common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not—

(4) for service pursuant to a tariff, engage in any unfair or unjustly discriminatory practice in the matter of—

(D) loading and landing of freight; . . .

46 U.S.C. § 41104(a)(4)(D).¹²

Section 41104 prohibitions only apply to “common carriers.” There is no dispute that Respondent is a vessel-operating common carrier. (Claim ¶ II; Response ¶ 2; <https://www2.fmc.gov/FMC1Users/scripts/ExtReports.asp?tariffClass=vocc> (last visited Aug. 18, 2026)). Thus section 41104 applies to Respondent.

Moreover, section 41104(a)(4) prohibitions only apply to “service pursuant to a tariff.” Claimant did not specifically allege that the shipment of the crane was pursuant to a tariff. However, in response to the RFI—which requested that Respondent produce the tariff if the shipment was in fact pursuant to a tariff—Respondent produced the relevant tariff and did not dispute that the shipment was in fact pursuant to a tariff. (R. RFI Resp. at Req. 4; NYK000147-NYK000234). Accordingly, the record supports this element.

¹² On June 16, 2022, the Ocean Shipping Reform Act of 2022 (“OSRA 2022”) passed, which revised portions of the Shipping Act, including § 41104(a), in which “may” was changed to “shall.” Pub. Law No. 117-146 (Jun. 16, 2022). Because the relevant conduct occurred after June 16, 2022, the post-OSRA version is quoted.

The disputed element is whether Respondent engaged in any unfair or unjustly discriminatory practice. The gravamen of the Claim is that Respondent failed to offload the crane when the vessel arrived at the destination of Puerto Cortes, and that Respondent's reason for not offloading the crane—that the brakes were non-operational— was “false.” In support of this contention, Claimant alleges that it arranged for two crane mechanics to inspect the crane when the vessel returned to the port of Jacksonville, and that the crane mechanics reported that the crane was operationally sound. (Claim ¶¶ III.C, III.D). Claimant also contends that the bill of lading documents that, while the vessel was in route back to Jacksonville, the crane was “disembarked and reembarked” at the port in Veracruz, Mexico, which “strongly suggests that the crane was improperly stowed or mishandled and may have been mistakenly offloaded at a different port.” (*Id.* ¶ III.C). Respondent counters that its conduct “was reasonable under the totality of the circumstances.” (Response ¶ 25). According to Respondent, the crane “malfunctioned at the time of attempted discharge” at Puerto Cortes, “leading Respondent to make a determination that the cargo such could not be safely discharged from the vessel at that time.” (*Id.*). Respondent also generally denies that the crane was ever disembarked at the port in Veracruz on the return voyage back to Jacksonville. (Response ¶ 6). Respondent has produced internal emails explaining that the return bill of lading shows Veracruz as the port of loading only because “US customs requires a foreign load port to register an import” but that the crane “remained onboard and did not actually ‘load’ from a foreign port.” (NYK000089).

Prior decisions have considered whether a common carrier's conduct was unjust or unfair in the context of handling freight. In *Adair v. Penn-Nordic Lines, Inc.*, a carrier received a motorcycle for shipment overseas, but due to a dispute with the freight forwarder over payment of freight charges, left it in a warehouse despite representing that it had shipped. *Id.*, Dkt. No. 1695(F), 1991 WL 383091, at *8-9 (ALJ Sept. 19, 1991), *admin. final* Oct. 24, 1991. The carrier later reached an agreement with the freight forwarder and accepted payment for the shipment, but still did not ship the motorcycle, insisting on payment for storage charges and additional fees in order to ship it. The Administrative Law Judge (“ALJ”) found a violation of section 10(b)(6)(D) of the Shipping Act (now 46 U.S.C. § 41102(c)), and also noted that the carrier's conduct would probably support a finding of a violation of section 10(b)(6)(D) (now 46 U.S.C. § 41104(a)(4)(D)). In *Symington v. Euro Car Transp. Inc.*, a carrier accepted money from an individual to purchase and ship an automobile, but then did not carry out its obligations and refused to return the money. *Id.*, Dkt. No. 92-47, 1993 WL 113704, at *1 (ALJ Mar. 17, 1993), *admin. final* Apr. 22, 1993. The ALJ determined that this was a violation of Section 10(b)(6)(D). *Id.* at *4-5. Similarly, in *Panalpina Inc. v. E. Mediterranean Shipping Corp.*, a shipment was delayed in route and the carrier ignored the shipper's repeated requests for status updates. *Id.*, Dkt. No. 98-12, 1998 WL 940271, at *1 (ALJ Sep. 21, 1998), *admin. final* Oct. 23, 1998. The shipper was forced to investigate the issue and make additional payments to ensure the cargo was delivered. *Id.* The ALJ found the carrier's actions constituted unfair practices in the loading and landing of freight in violation of section 10(b)(6)(D). *Id.* at *2.

More recently, in *Ian Mills v. Crowley Logistics, Inc.*, Dkt. No. 1995(F), 2025 WL 848571 (ALJ Mar. 13, 2025), *admin. final* Apr. 15, 2025, the ALJ found that a common carrier engaged in an unfair practice where it picked up the shipper's generator for shipment, but somehow lost the generator and then failed to take reasonable steps to locate it. *Id.*, 2025 WL 848571 at *12, *14. The ALJ reasoned that “[t]his carelessness in handling Mr. Mills's property, indifference to his inquiries, and total failure to investigate is in line with *Adair*, *Symington*, and

Panalpina.” *Id.* at *14. In *Kanu v. Eze*, the ALJ considered whether a complainant’s allegations that the carrier shipped the container to the wrong destination, failed to correct their mistake, and charged the complainant additional money to re-ship the container to the correct location but still did not ship the container, plausibly alleged a section 41104(a)(4)(D) claim. *Id.*, Dkt. No. 25-05, 2025 WL 2634210 (ALJ Sep. 4, 2025). The ALJ found “[t]hese allegations collectively point to unfair conduct in loading and landing of freight.” *Id.* at *3. In reaching this conclusion, the ALJ noted the allegations were similar to *Ian Mills* and *Adair*, where in both cases, “the respondent carrier failed to have the cargo delivered to the correct destination, and then did nothing to solve the problem.” *Id.*

Here, unlike *Adair*, *Symington*, and *Panalpina*, Respondent attempted in good faith to carry out its obligations and took reasonable measures to solve the issue. Respondent shipped the crane from Jacksonville to Puerto Cortes and acted reasonably in response to the message it received from the terminal in Puerto Cortes that the crane could not be unloaded because it “did not have enough power to go up the ramp” and “the brakes were failing.” (NYK000098-NYK000099) (translated). Upon learning that the crane could not be discharged in Puerto Cortes, Respondent communicated with the shipper, EIF, to pass along the report it received, explain that the crane had to remain on the vessel and would return to Jacksonville, and recommend that a local mechanic should repair the crane while berthed in Jacksonville in order to re-ship the crane. (NYK000086). While it appears that, in the course of passing along the report received from the terminal in Puerto Cortes, there was some confusion as to whether the issue with the crane was insufficient power or failing brakes (or both), there is no indication that Respondent intentionally misrepresented the condition of the crane. Likewise, the fact that the Dozier crane mechanics later determined there were “no issues” with the crane when they inspected it upon its return to Jacksonville, does not prove that Respondent “falsely” claimed the crane was non-operational. The record shows that Respondent reasonably relied upon the reports it received from the terminal in Puerto Cortes that the crane had mechanical problems that prevented it from being unloaded. Respondent’s internal emails demonstrate that it took immediate steps to assess the situation, brainstorm potential solutions, and communicate with EIF. While Claimant contends that Respondent failed to communicate directly with Claimant, Respondent was under no obligation to communicate with Claimant because Claimant was neither the shipper, consignee, notify party, nor forwarding agent on the bill of lading.

In sum, because Claimant has failed to establish that Respondent engaged in any unfair or unjustly discriminatory practice with respect to the attempt to unload the crane, Claimant’s section 41104(a)(4)(D) claim fails.

2. Section 41104(a)(3)

Section 41104(a)(3) provides that a common carrier shall not “unreasonably refuse cargo space accommodations when available, or resort to other unfair or unjustly discriminatory methods.” 46 U.S.C. § 41104(a)(3).¹³

¹³ Section 41104(a)(3) was amended by OSRA 2022. Because the relevant conduct occurred after June 16, 2022, the post-OSRA version is quoted.

Neither the Claim nor Claimant’s response to the RFI—which directed Claimant to provide “a detailed explanation of how Respondent’s alleged conduct violated the subsection” (RFI at Req. 1)—specifies a refusal of cargo space accommodations. However, it is appropriate to construe a *pro se* Claimant’s filings liberally. *See Paul Houben v. World Moving Servs., Inc.*, Dkt. No. 1887(I), 2010 WL 11930208, at *4 (FMC Jul. 6, 2010) (“Pleadings are to be construed liberally and courts have not limited claims to those specifically described in the pleadings as long as a pleading gives another party fair notice of the claim or defense.”); *see also A Customs Brokerage, Inc. v. Cargocare Logistics USA, Inc.*, Dkt. No. 1987(I), 2024 WL 2131767, at *5 n.3 (FMC Apr. 4, 2024) (holding the SCO did not err in “contru[ing] the pro se pleadings liberally, and opt[ing] to analyze the well-pleaded allegations of the complaint” under a different section of the Shipping Act than the section the complaint asserted was violated); *Taylor’s Resources, Inc. (USA) v. Mitsui O.S.K. Lines Ltd.*, Dkt. No. 1954(F), 2018 WL 1757672, at *5 n.11 (FMC Apr. 4, 2018) (noting approvingly that “[t]he ALJ ... liberally construed Complainant’s filings consistent with its pro se status”). The evidence Respondent submitted in response to the RFI documents that, after the vessel returned to Jacksonville and the Dozier Crane mechanic reported there were “no issues” with the crane, EIF requested that the crane be immediately re-loaded back onto the vessel on November 11, 2024. (NYK000008- NYK000020; NYK000063). Respondent, however, ultimately did not reload the crane onto the vessel on November 11, 2024. According to Respondent, the crane had “power/propulsion/transmission issues” that prevented the crane from reaching the ramp to load onto the vessel. (NYK000008). Although not specified by Claimant, Respondent’s failure to re-load the crane back onto the vessel on November 11, 2024, will be considered to determine whether Respondent violated section 41104(a)(3) by unreasonably refusing cargo space accommodations.

By regulation, the Commission has specified the elements for a section 41104(a)(3) claim, as well as related definitions and non-binding considerations. 46 C.F.R. § 542.1(a)-(e). Pursuant to the Commission’s regulations, the elements necessary to establish a claim under section 41104(a)(3) are:

- (1) The respondent must be an ocean common carrier as defined in 46 U.S.C. 40102;
- (2) The respondent refuses or refused cargo space accommodations when available; and
- (3) The ocean common carrier’s conduct is unreasonable.

46 C.F.R. § 542.1(c). The regulation defines “cargo space accommodations” as:

... space which has been negotiated for or confirmed aboard the vessel of an ocean common carrier for laden containers being imported to or exported from the United States. Cargo space accommodations includes the services necessary to access and load or unload cargo from a vessel calling at a U.S. port.

Id. § 542.1(b).

The first element is met because there is no dispute that Respondent is a vessel-operating common carrier. (Claim ¶ II; Response ¶ 2; <https://www2.fmc.gov/FMC1Users/scripts/ExtReports.asp?tariffClass=vocc> (last visited Aug. 18, 2026)).

It is a close call as to whether the second element is met. While Respondent did refuse “cargo space accommodations” by not loading the crane back onto the vessel which was calling at a U.S. port, it is not clear that the cargo space accommodations were actually available. Respondent’s internal email messages reveal that Respondent did not believe there was space available on the vessel, and Respondent discussed the possibility of rolling-over an equivalent unit to the next voyage in order to make space for the crane. (NYK000010-NYK000015). However, Respondent ultimately decided that if the crane “can make it up [t]he stern ramp without any issue we will load.” (NYK000009). This tends to show that while the cargo space was initially unavailable, Respondent took actions to make the cargo space accommodations available (potentially by denying cargo space to another shipper in order to make the space available).

The third element, however, is not met because Claimant fails to establish that Respondent’s conduct was unreasonable. To assist in evaluating whether the conduct was unreasonable, the Commission has provided non-binding factors to consider:

- (1) Whether the ocean common carrier followed a documented export policy that enables the timely and efficient movement of export cargo;
- (2) Whether the ocean common carrier made a good faith effort to mitigate the impact of a refusal;
- (3) Whether the refusal was based on legitimate transportation factors; and
- (4) Any other relevant factors or conduct.

46 C.F.R. § 542.1(d)(1)-(4).

Here, the record establishes that upon the vessel’s return to Jacksonville, on November 11, 2024, a mechanic from Dozier Crane inspected the crane and determined that, although the crane had been left on and had low voltage, the crane was operational. (Informe tecnico Dozier.pdf). The mechanic was able to drive the crane off the vessel and park in on the dock, as instructed. (*Id.*). EIF forwarded to Respondent the message EIF received from the mechanic, which stated that there were no issues with the crane and that whoever had previously attempted to unload the crane had it in the wrong gear and “didn’t know what to do.” (NYK000020). Based on this information, Respondent decided to attempt to re-load the crane back onto the vessel. (NYK000009). However, Respondent ultimately was unable to re-load the crane onto the vessel due to “power/propulsion/transmission issues” that prevented the crane from reaching the ramp. (NYK000008). A few days later, on November 14, 2024, a second Dozier Crane mechanic inspected the crane and “could not find any issues, but, as an added precaution, changed the filters and added more fuel since the fuel was low. (Informe tecnico Dozier.pdf). Presumably, the vessel had already departed the port of Jacksonville by this time.

Claimant maintains that Respondent’s claim that the crane was non-operational is “false” because it is contradicted by the Dozier mechanics reports that there were no issues with the crane. While the parties dispute whether the crane was operational, the evidence does not support that Respondent acted unreasonably. There is no evidence to support that Respondent’s failure to load the crane was due to anything other than its good faith concern that the crane was not

operational and could not make it up the loading ramp. Respondent's internal emails document the legitimate effort Respondent took to load the crane, and the fact that the attempt was unsuccessful due to perceived power or transmission issues. Respondent's internal emails bear an indicia of reliability because the messages were contemporaneous with the effort to reload the crane, appear to be created from information given by a person with direct knowledge of the facts, and appear to have been conducted as a regular part of Respondent's business operations. *Cf.* FED. R. EVID. 803(6) (business records exception to the hearsay rule). Accordingly, I find that Claimant has failed to demonstrate that Respondent acted unreasonably in its efforts to load the crane back onto the vessel at the Jacksonville port on November 11, 2024. Because Claimant has failed to establish that Respondent acted unreasonably, Claimant's section 41104(a)(3) claim fails.

V. CONCLUSION

It is hereby **ORDERED** that the Claim is **DENIED** and **DISMISSED**.

SO ORDERED

Jamie L.
Mendelson -S

Digitally signed
by Jamie L.
Mendelson -S

Jamie L. Mendelson
Small Claims Officer